Should You Keep Selling the Same Option or Adjust Every Month?

A Plain-English Comparison of Two Covered Call Strategies

Based on 1,000,000 simulated stock paths across three market conditions

Short answer: If you believe the stock will go up, the Fixed Strike approach earns more on average. But if you want a **smoother, more consistent** experience regardless of what the market does, the Rolling ATM approach wins — and it is the better choice for most investors.

What Is This Report About?

Imagine you own a stock. A **covered call** means you also sell someone the *right* to buy your stock at a specific price (the "strike price") within the next month. In exchange, they pay you a fee upfront (the "premium"). This is a popular strategy because that fee gives you extra income — but the trade-off is that if the stock shoots up past the strike price, you don't get to keep those gains.

The question we're testing: **When the month ends and you sell a new option, what strike price should you pick?**

The Two Strategies

	Fixed Strike	Rolling ATM
What you do	Always sell the option at the ORIGINAL stock price ($100), no matter what.	Sell the option at whatever the stock price is RIGHT NOW.
If stock drops to $70...	You sell a $100 option. Very unlikely to be exercised. You collect almost no fee.	You sell a $70 option. Still meaningful fee collected. Stays "in the zone."
If stock rises to $130...	You sell a $100 option. Almost certain to be exercised. You give up all gains above $100.	You sell a $130 option. You keep the gains so far, and collect a new fee.

The Three Market Scenarios

We tested both strategies under three different assumptions about where the stock is heading:

Scenario	What It Means	Real-World Analogy
Stock trends UP (+5% per year)	The stock gradually climbs over the year.	A healthy economy, company doing well.
Stock goes NOWHERE (0% per year)	The stock bounces around but ends roughly where it started.	Uncertain market, no clear direction.
Stock trends DOWN (–5% per year)	The stock gradually declines over the year.	Recession fears, company struggling.

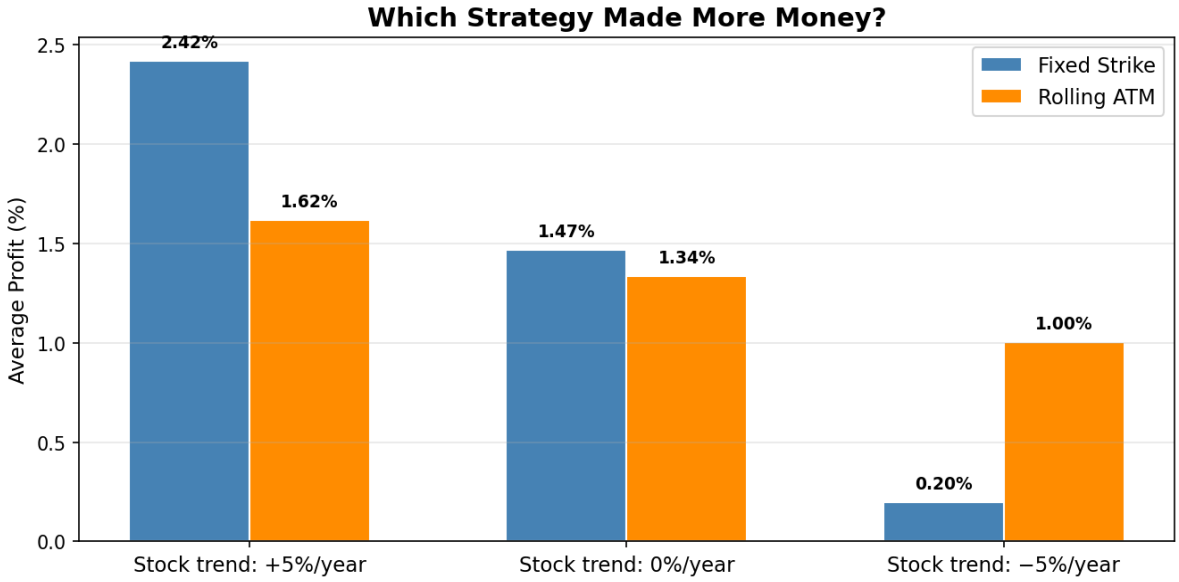
For each scenario, we simulated 1,000,000 possible stock price journeys over one year and tracked how each strategy performed.

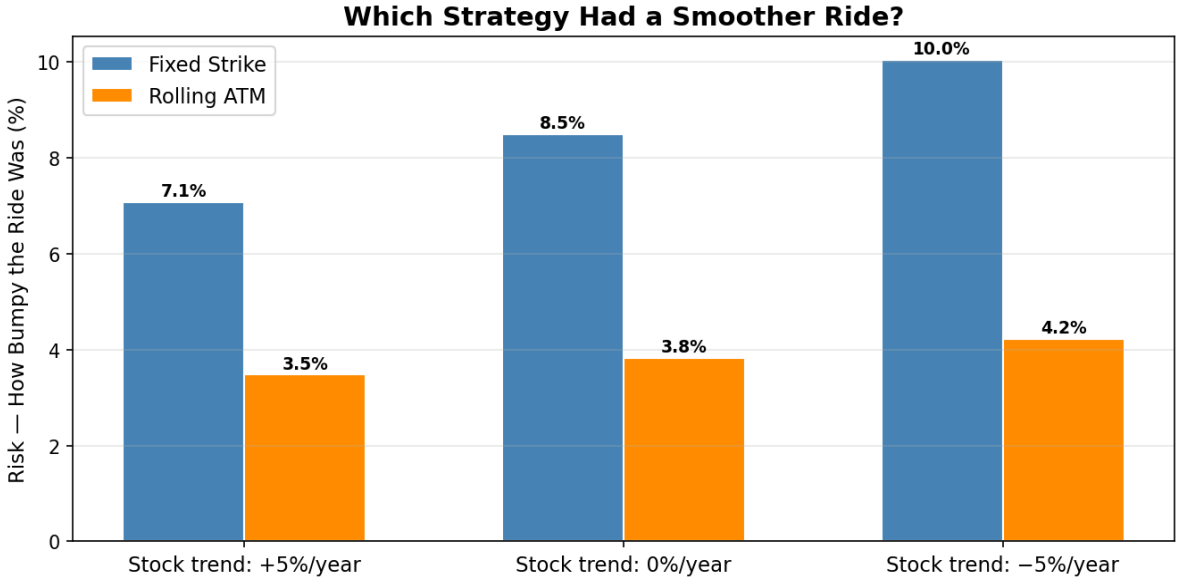
The Results at a Glance

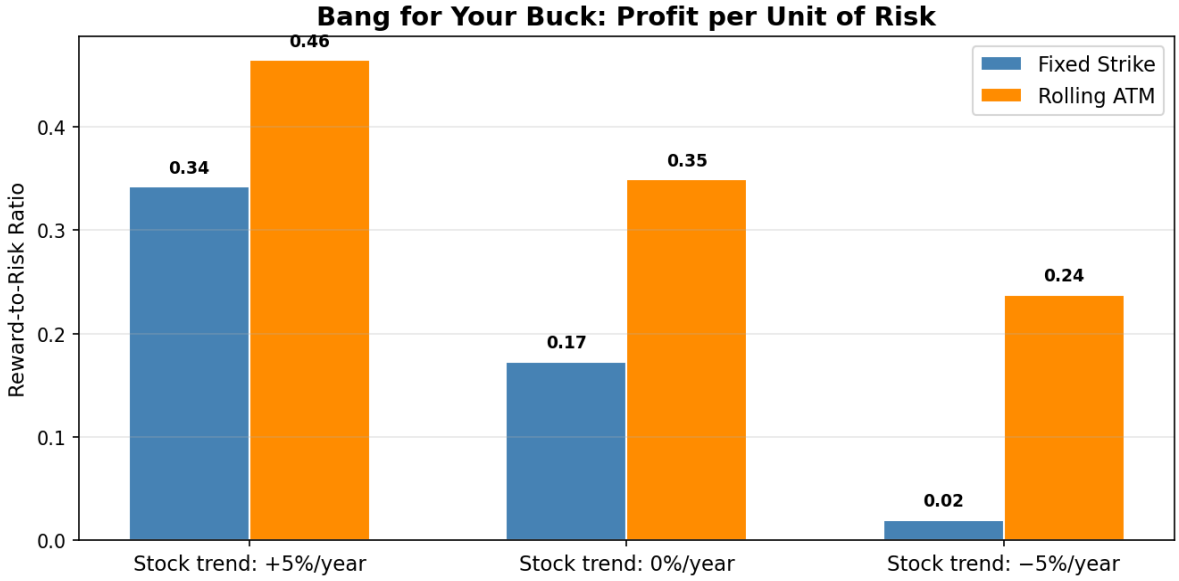
	Stock UP (+5%/yr)		Stock FLAT (0%/yr)		Stock DOWN (–5%/yr)	
	Fixed	**Rolling**	**Fixed**	**Rolling**	**Fixed**	**Rolling**
Average Profit	2.42%	1.62%	1.47%	1.34%	0.20%	1.00%
Risk (Volatility)	7.1%	3.5%	8.5%	3.8%	10.0%	4.2%
Reward-to-Risk	0.34	0.46	0.17	0.35	0.02	0.24
Win Rate	89%	81%	85%	78%	81%	75%
Unlucky Outcome (bottom 5%)	-14.3%	-5.9%	-19.6%	-6.9%	-24.3%	-8.0%

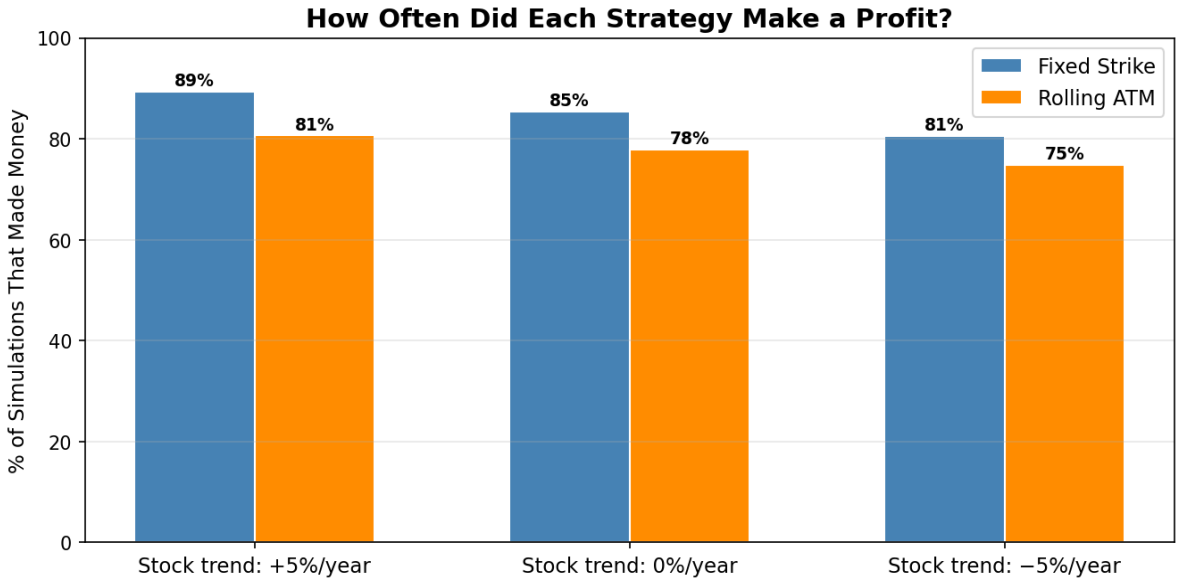
How to read this table: "Average Profit" is the typical return over one year. "Risk" measures how wildly returns swing — lower is calmer. "Reward-to-Risk" is the profit divided by the risk — higher means you got more profit per unit of uncertainty. "Win Rate" is how often the strategy made any money at all.

Visual Comparison

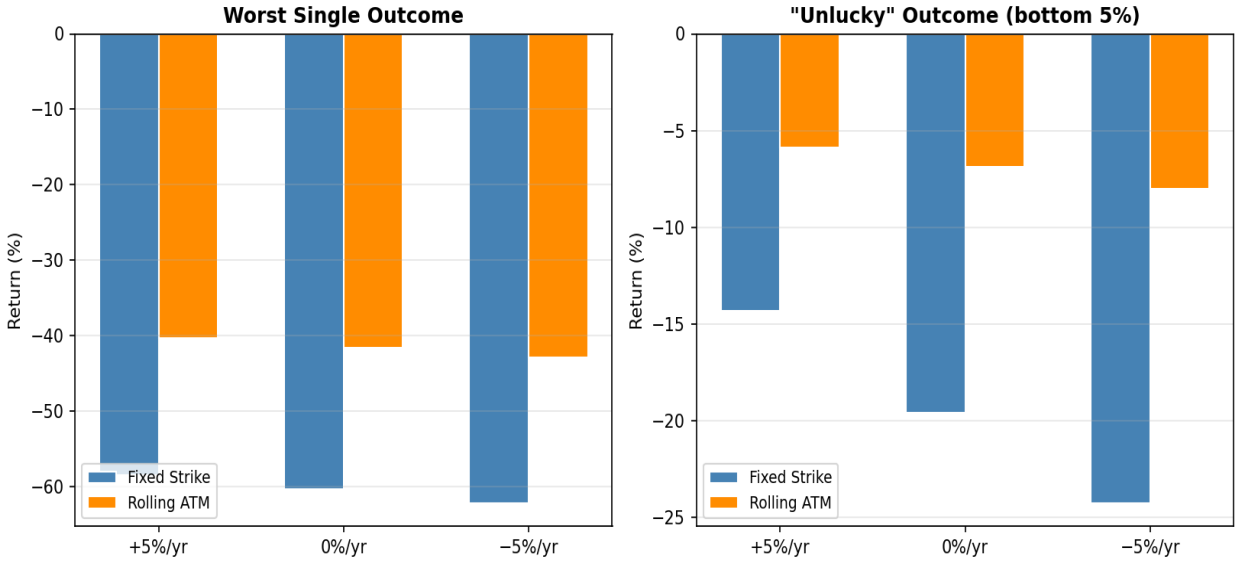





Bang for Your Buck: Profit per Unit of Risk
Reward-to-Risk Ratio
0.0
0.1
0.2
0.3
0.4
0.34
0.46
0.17
0.35
0.02
0.24
Fixed Strike
Rolling ATM
Stock trend: +5%/year
Stock trend: 0%/year
Stock trend: −5%/year


How Often Did Each Strategy Make a Profit?
% of Simulations That Made Money
0
20
40
60
80
100
89%
81%
85%
78%
81%
75%
Fixed Strike
Rolling ATM
Stock trend: +5%/year
Stock trend: 0%/year
Stock trend: −5%/year

What About Bad Outcomes?



The left chart shows the single worst outcome out of 1,000,000 simulations. The right chart shows the "unlucky" threshold — the return you'd exceed 95% of the time. In both cases, **Rolling ATM has dramatically smaller losses**. The Fixed Strike approach can lose much more because when the stock drops, it stops collecting meaningful fees but you still own the falling stock.

Why Does This Happen?

Think of it like renting out your house.

Owning a stock and selling options on it is a bit like owning a house and renting it out. The rent you collect is like the option fee ("premium"). The two strategies differ in how you set the rent:

Fixed Strike is like setting your rent at the original purchase price of the house — forever. If the neighborhood declines and your house is now worth much less, you're asking for rent that nobody wants to pay, so you collect almost nothing. Meanwhile, you still own a house that's losing value. If the neighborhood booms, your tenant gets an amazing deal and you can't raise the rent.

Rolling ATM is like adjusting your rent to match the current market rate every month. If the neighborhood drops, you lower the rent — but at least you're still collecting something. If it booms, you raise the rent to match. You always collect a fair, meaningful amount. This keeps your income steady regardless of what happens to property values.

The key insight in numbers:

What Happens	Fixed Strike Fee (from the option)	Rolling ATM Fee (from the option)
Stock falls to $70	$100 option is unrealistic. Fee collected: ~$0.01	$70 option is realistic. Fee collected: ~$2.00
Stock stays at $100	$100 option is perfect. Fee collected: ~$2.90	$100 option is perfect. Fee collected: ~$2.90
Stock rises to $130	$100 option is a giveaway. You cap your gains at $100.	$130 option is fair. You keep the $30 gain and collect a new ~$3.70 fee.

The Rolling ATM strategy stays "in the zone" — always collecting a meaningful fee — regardless of whether the stock goes up or down. The Fixed Strike strategy drifts away from that sweet spot whenever the stock moves significantly.

So Which Strategy Should You Use?

It depends on what you care about most:

If you want...	Best choice	Why
Highest average profit (and believe stocks go up)	**Fixed Strike**	When the stock trends upward, Fixed Strike captures more of that upside direction. But: much bumpier ride and bigger losses if you're wrong.
Smoothest experience (sleep well at night)	**Rolling ATM**	Consistently half the risk of Fixed Strike. Your returns are more predictable month to month.
Best profit-per-risk (most efficient use of your money)	**Rolling ATM**	Wins in ALL three scenarios. You get more return for each unit of risk you take.
Protection if stock falls	**Rolling ATM**	In a declining market, Rolling ATM still earns +1.00% while Fixed Strike earns only +0.20% — and with half the volatility.

Our Recommendation: Rolling ATM is the better strategy for most investors.

The Rolling ATM approach wins the reward-to-risk comparison in **all three market environments**. It earns a bit less in bull markets, but the trade-off is dramatically lower risk, better downside protection, and a strategy that doesn't stop working just because the stock moved away from its starting price.

The Fixed Strike strategy is a reasonable bet *only if* you have strong conviction that the stock will rise. Even then, the extra average return comes with roughly double the volatility — meaning many more stressful months along the way.

Methodology

We simulated 1,000,000 random stock price paths for each scenario using a standard financial model (geometric Brownian motion with lognormal returns). Options were priced using the Black-Scholes model with a constant implied volatility of 25% (versus 20% realized volatility), reflecting the real-world observation that option prices tend to be slightly "expensive" — which is one reason option selling strategies can be profitable.

This analysis assumes no trading costs, no taxes, and constant market conditions. Real-world results will vary. This is not investment advice.